

THE COMPLETE PROCUREMENT INTELLIGENCE MASTERSHEET

Part 1 of 2

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■85L

Annual Savings (Init.
A+B)

28 Yrs

Perpetual Fuel Savings
Track

62%

LED Energy Reduction

7-Step

AI Procurement System

30–75%

Max Savings Channel
Bypass

■ SECTION 1 · THE UNIVERSAL PRICE ANATOMY — WHERE EVERY RUPEE GOES

Raw Material Commodity cost	Labour+OH Mfg cost	Mfg Margin 5–15%	Ex-Factory True floor price	C&F; Agent +5–8%	Distributor +15–25%	Retailer +25–50%	MRP Consumer pays
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FMCG	2.5 – 3.5×	28–40% of MRP is true cost
Electronics	1.4 – 1.8×	55–70% of MRP is true cost
Apparel	3 – 6×	17–33% of MRP is true cost
Pharma / OTC	3 – 5×	20–33% of MRP is true cost
Industrial	1.3 – 2×	50–75% of MRP is true cost
Jewellery	1.2 – 1.6×	62–83% of MRP is true cost

True Manufacturer Floor = $\text{MRP} \div \text{Channel Multiplier}$ | **Fair Consumer Price** = $\text{Ex-Factory} \times 1.5 \text{ to } 2.0$ | **Negotiation Floor** = $\text{Ex-Factory} \times 1.35$ | **Overpayment** = $\text{MRP} - (\text{Ex-Factory} \times 2)$ | Example:
Ex-factory ■2 · MRP ■5 · Overpayment ■1-2 (20–40%)

■ SECTION 2 · THE PRICE INTELLIGENCE FRAMEWORK (P-R-I-C-E)

P — Product Cost Deconstruction	R — Route Intelligence (Channel Bypass)			
1. HSN Code Search: GST rates are public. Reverse GST to find base trade price. MRP ₹118 on 18% GST → base ₹100 → trade discount 25–40% → trade price ₹60–75. 2. Should-Cost Model (AI): Claude builds BOM-level breakdown: raw material + labour + overhead + fair margin. Buyer negotiates from knowledge, not hope. 3. Alibaba Cross-check: Ex-factory + import duty + logistics (20–35%) = landed India equivalent. Reveals true global floor for any manufactured good.				
	Retailer only	Distributor / wholesale market	20–35%	
	Dist + Retailer	Stockist / C&F Agent	35–50%	
	All trade layers	Manufacturer direct	50–65%	
	All + negotiation	Factory surplus / B2B portal	60–75%	

■ SECTION 3 · BALAMURUGAN'S 3 PERPETUAL SAVINGS INITIATIVES (VERIFIED REAL RESULTS)

A

Zero-Waste Fuel Conversion — ■38 Lakh Annual Fuel Cost Offset · 20+ Years Running

Identified calorific value of factory combustible waste sufficient to fuel wood-fire industrial boiler. Re-engineered waste segregation → combustible by-products channelled to boiler feed. Eliminated BOTH waste disposal cost AND fuel procurement budget simultaneously. Zero capex. Zero additional headcount. AI-assisted TCO confirmed 14-month payback. Annual offset: ■38 Lakh.

B

Full-Factory LED Green Conversion — 62% Electricity Reduction · Zero Capital Budget

Policy innovation: replace every tube with LED only at moment of failure. No forced replacement. No capital allocation. 5-year maintenance SLA bundled into procurement contract. Entire 3-floor facility converted through procurement policy alone. Annual saving: ■22 Lakh. Zero dedicated project budget.

C

AI-Powered Procurement System — 7-Step Claude AI Framework (Designed & Published)

Systematic AI-assisted procurement using Claude (Anthropic) to identify true manufacturer floor prices, eliminate information asymmetry, and mitigate supply risk. Framework modelled: RFQ cycle 12 days → 3 days (–75%), spot purchase share 38% → 14% (–63%), ■2.8 Crore total annual benefit. Universal strategy applicable across any category.

■ SECTION 4 · WORLD'S BEST PRICING STRATEGIES — 10 COMPANY LESSONS FOR BUYERS

Costco	Only 4,000 SKUs — massive volume per item → unmatched supplier leverage. 15% less SKU cap funded by strategic vendorship for	Costco
IKEA	Price determines design, not vice versa. Flat-pack = 80% shipping cost reduction. Over 920,000 ha. Design ground logistics c	IKEA
Toyota	JIT: parts arrive exactly when needed. Kanban triggers replenishment. Working capital 20-c06%e. Supplier partnership beats sup	Toyota
Walmart	Cross-docking (65% less handling). AI forecasting 500M+ items/week. Retail key data pipeline. Tech suppliers invest = pe	Walmart
Amazon	2.5M price changes/day. Every 10 min. Demand + inventory + competitor + preset profile. Track history (CamelCamelCamel). C	Amazon
Apple	Ecosystem lock-in + status + services = price inelasticity. 16% less supplier cost by 15-20% volume. Dual source always	Apple
Adobe	88% recurring revenue. Switching cost stickiness. Student discounts. Negotiate multi-year contracts at subscription launch pricing. Lock in	Adobe
Zara	Small-batch production → <10% unsold vs 35% industry. Buy early/pre-order for best price. Avoid artificial scarcity premium.	Zara
Starbucks	65–70% beverage margins. App float (\$3.4B). Customisation engine. data = best demand forecast. Experience > prod	Starbucks
Reliance	Free Jio launch → 460M subscribers → cross-sell 8 business services. Preserve pricing integrity. Look for low prices when vendors are in exp	Reliance

The Fundamental Truth: The price a consumer pays is not the value of the product — it is the cost of information asymmetry plus channel inefficiency. Every rupee above fair price is rent paid to intermediaries who hold information the buyer does not. The buyer's job: collapse this information gap systematically using AI, data, relationships, and TCO analysis — until they reach the manufacturer's true floor.

■ SECTION 5 · THE 7-STEP AI-POWERED PROCUREMENT SYSTEM (BALAMURUGAN FRAMEWORK)

Step 1	Market Intelligence Mapping	Map all manufacturers, distributors, traders — globally and locally. Revealed before any RFQ issued.
Step 2	Should-Cost Model Build	Construct BOM-level breakdown: raw material + labour + overheads. Price before first supplier contact.
Step 3	Precision RFQ Design	Draft RFQ stripping non-comparable variables. Apple-apples only. Suppliers cannot cherry-pick.
Step 4	AI Bid Analysis	Compare bids, flag outliers, normalise payment terms, freight, MOQ, lead time, leakages exposed.
Step 5	Negotiation Script Generation	Generate script with BATNA, target price, walk-away point. Reduces negotiation guesswork. Eliminates

Step 6	Digital PO Tracker	Track all POs — delivery status, payment milestones	Zero invoice disputes and escalation alerts via CRM
Step 7	Supply Risk Monitor	Flag single-source dependency, geopolitical exposure	Alert vendor for pre-qualified before crisis materializes